1.3 Definition

- **L.R. Disksee** defined Internal Check as, "Internal Check is an arrangement of accounting routine that errors and frauds are automatically prevented or discovered by the very operation of book-keeping itself."
- According to **F.R.M Depaula**, "An internal check means practically a continuous internal audit carried on by the staff itself, by means of which the work of each individual is independently checked by the other members of the staff".
- According to **Speicer and Pegler**, "A system of internal check is an arrangement of staff duties whereby no one person is allowed to carry through and to record every aspect of the transaction, so that, without collusion between two or more persons, fraud is prevented and at the same time the possibilities of errors are reduced to the minimum".

1.4 Principles (or) Features of Good Internal Check System



1. **Division of Work:** Division of work refers to dividing the total work among various staffs is such a way that no single person is allowed to perform the work from the beginning to the end. The work should be allocated to the employee based on the capacity of each person.
2. **Authority and Responsibility:** Authority, duties and responsibilities of each person should be clearly defined and there should not be any overlapping or duplication of duties and responsibilities.
3. **Automatic Check:** Work allocated to the staff should be in such a way that the work

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